

Accounts Receivable Aging and Collections Procedure

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Purpose

This procedure defines how outstanding tenant balances are monitored and collected so that receivables are minimized and bad debt is identified early.

Aging Buckets

Tenant receivables are aged into standard buckets based on the number of days past the charge due date:

Bucket	Days Past Due
Current	Not yet due
1-30 days	1 to 30
31-60 days	31 to 60
61-90 days	61 to 90
Over 90 days	More than 90

Collections Cadence

A balance entering the 1-30 bucket triggers an automated statement reminder. At 31-60 days the property manager makes direct tenant contact. At 61-90 days a formal demand letter is issued and late fees are confirmed as billed. Balances over 90 days are escalated to the Controller for a decision on legal action or reserve.

Late Fees

Late fees are billed per the lease and posted to Late Fee Income (4030). Late fees are only waived with Controller approval, and the waiver reason must be documented.

Allowance and Write-Off

Balances deemed uncollectible are reviewed monthly. An allowance for doubtful accounts is estimated based on the aging profile. A write-off of a specific balance requires Controller approval and is only recorded after collection efforts are exhausted. A write-off reduces the receivable and records bad debt expense; it does not delete the original charge history.

Reporting

The aging report is reviewed at month-end close and the total receivable on the report must tie to the Accounts Receivable control account in the general ledger.